Our Ref: PL/SF/SHARED/PETERL

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24 September 2018

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Terms of Engagement - Charge in Favour of Barclays Bank Plc

Thank you for instructing us to act for you. Our work will be undertaken on the terms set out in this letter and the attached Standard Terms, together with any other terms expressly agreed at any time in writing by a partner of ours. We are required to set out these terms in detail, so please excuse the formality of the documents and please read them carefully.

1 **SCOPE OF OUR WORK**

The scope of our work will in summary comprise advising you in relation to the Barclays mortgage and taking further action with the view of obtaining a release of all or part of the liabilities imposed by the charge. We will not advise on laws other than English law. I understand there may be a French law element which we are not instructed to advise upon.

2 **TIMESCALE**

It is not possible to predict exactly how long this matter may take to complete not least because it involves liaising or negotiating with others or because we are reliant in some respects on you and others for information though typically, in our experience, matters of this nature take several months and possibly years. We shall endeavour to deal with the matter expeditiously and will keep you up to date with progress including likely timescales.

3 **WHO WILL DO THE WORK**

I will supervise the work and will be your main point of contact. Joe Edwards, a senior associate, will also have day to day involvement. I will also be assisted by Oliver Park and/or Emma Darwish, both associates in my team. If others here have any significant involvement, for example to deal with specialist points or provide cover during absences, we will discuss this with you first whenever possible.

We may outsource certain support services to external service providers under obligations of confidentiality.

4 **OUR FEES**

We are to be instructed by way of a Conditional Fee Agreement, details of which will be provided separately.

It has been agreed that the CFA will be retrospective to 1 May 2018. All time prior to 1 May 2018 will become due and payable if there is success defined as "Win the Claim" in the CFA. However, there will be no additional uplift for time incurred prior to 1 May 2018. Only our base costs (plus any

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For information as to how we process your personal data please see our privacy policy on our website charlesrussellspeechlys.com.

disbursements) for this period will be billed. This is in addition to all other liabilities as detailed in the CFA.

For your references, the hourly rates of those who we expect will do the work are:

Peter Levaggi	£410 plus VAT
Joe Edwards	£305 plus VAT
Oliver Park	£190 plus VAT
Emma Darwish	£190 plus VAT

If others do significant work on the matter, we will tell you and inform you of their hourly rate. It is not possible to say with any certainty how much our overall fees may be. Assuming that Barclays agrees to our demands following minimal negotiations our base costs may be between £10,000 and £20,000 plus VAT. However, that depends on the conduct of Barclays and our fees may be significantly more than this. We will provide fee updates as we move forward with the matter.

Hourly rates are normally reviewed annually with changes brought into effect from 1st May. Changes in hourly rates will be notified. We record our time in six minute units.

Company Secretarial and similar services will be charged at rates which reflect the cost and time involved. Some of these services are charged at fixed annual fees and others at hourly rates. Details will be provided on request. The work of other administrative or secretarial staff is not charged separately other than in exceptional circumstances which we will discuss with you.

Where more than one person is our client, liability for our charges is joint and several.

Under arrangements we have with Nick Stoop who has referred you to us, we pay him 15% of our fees. On this occasion Nick has agreed to waive his referral fee.

If court proceedings are issued in this matter then we may be required by the Court to file and exchange with the other side detailed costs budgets before the first case management conference. The scope of these budgets is set out in more detail in the attached note, General Information About Litigation Costs.

5 OTHER CHARGES, EXPENSES AND DISBURSEMENTS

These will be added to our fees and, unless they are unusual, we will proceed on the basis that we have your authority to incur them. However, you will normally be consulted before we instruct Counsel, experts or other professional people at your expense unless we state that the amount you will be charged includes those other costs.

Other Charges

Photocopying and printing - 20p (or £1 for colour) per A4 sheet. In work of this type substantial photocopying may be incurred and we will charge for this at the rates stated. We cannot give you a considered estimate but it could amount to many hundreds of pounds.

Telegraphic transfer (CHAPS) fees – up to £30 which includes the bank charge that we pay.

A reasonable administration fee may be added to the cost of certain searches such as Company Searches.

Expenses

Expenses such as travel and subsistence, significant telephone call charges, and other expenses incurred on goods and services procured for your benefit, are charged at cost, except for travel by car, where a mileage charge (reflecting HMRC rates) applies.

Postal charges, minor telephone and fax costs and secretarial services are included in our general fees.

Disbursements

These include items such as the fees of Counsel (barristers), experts or other professional people and will be charged at cost.

6 VAT

VAT at prevailing rates will be added to sums billed to you where applicable.

7 BILLING AND PAYMENT INFORMATION

We will render our bills in accordance with the Conditional Fee Agreement. Our payment terms provide for settlement within 30 days. Unless we have specifically agreed otherwise in writing, we will not be bound to pay any other charges, expenses or disbursements (other than small amounts) unless we have received funds from you.

We reserve the right to request monies on account during the course of the matter. Requests for monies on account will be connected to the fee estimate that we provide, prior to work being completed and to enable us to incur certain disbursements on your behalf.

We expect bills to be paid by you directly rather than deducted from monies held on account. However we may use monies on account to pay bills in which case we may require you to replenish the funds from time to time to maintain them at a sufficient level to cover sums we expect to incur in the next stage or stages of the matter. We will report how these funds have been used and account to you for any remaining balance after all our bills have been paid. Should we cease to act for you for any reason, any unbilled work will be invoiced without delay and any balance remaining after deduction of our fees, other charges, expenses, disbursements and vat will be returned to you.

Whilst we hope that we will be able to resolve this case without the need to incur the substantial cost (on your behalf) of preparing and dealing with a full trial, adjudication or other formal Hearing before a tribunal, sometimes there is no other option available. Trials and other Court hearings involve substantial costs and expenses. We will try our best to provide you with accurate estimates of these costs. The estimates will include the costs of Charles Russell Speechlys LLP together with significant disbursements (including counsel's fees) in respect of which the firm may be directly liable. Accordingly, when we are approaching a hearing or trial we reserve the right to require you to provide an amount of money to cover the costs and expenses of the proceedings in full (including VAT) – i.e. those costs and expenses:

- already incurred (if there is unbilled work in progress or unpaid invoices); and
- for work which we estimate will be undertaken in relation to the trial or hearing.

These funds will be required at least 14 days prior to the trial/hearing (or if there is insufficient time then as soon as reasonably practicable prior to the hearing at our direction) and further sums will need to be provided if estimates increase.

Unless with our prior agreement a third party guarantees payment of our fees, we will not normally accept payment of sums from a third party that is not a financial institution providing finance in the ordinary course for the transaction. Also, we may need to carry out additional due diligence where we receive funds from third parties, which may result in your matter being delayed.

If you have insurance which covers legal expenses please let us know so that we can consider whether we will accept instructions funded by that insurance. If so you will need to inform your insurers before any work is undertaken, and confirm their agreement to our involvement. Please remember that whatever the expected source of funding, the primary liability for payment remains with you as our client.

8 PAYMENT AND RECOVERY OF COSTS

If court proceedings are involved, then special rules come into play. You need to be aware of these and I refer you to the enclosed note, General Information about Litigation Costs.

You are at all times responsible for payment to us of our total fees and other charges, expenses and disbursements without waiting for recovery of any costs or damages which the other party either agrees to pay or is ordered to pay. For the avoidance of doubt, this responsibility to pay our fees includes any shortfall resulting from limits on costs recovery imposed by the court as a result of its costs budgeting rules (see section headed "Costs Budgeting" in the note referred to above) or where a court approved budget for a phase of work was not obtained because of unexpected developments, urgency of work or similar, or where you instruct us to undertake work without obtaining an appropriate amendment to the budget ("costs budget shortfall").

This letter constitutes your agreement, pursuant to rule 46.9(2) of the Civil Procedure Rules, that section 74(3) of the Solicitors Act 1974 shall not apply and that we shall be entitled to charge an amount of costs that may, where appropriate, be greater than the amount you could have recovered or do recover from another party to the proceedings.

We are entitled to retain monies recovered from the other party in order to pay our costs.

If there is a shortfall between the amount of our costs, and the amount which is recovered from the other party (including, as a result of a costs budget shortfall), we are entitled to retain that shortfall from any monies which are received in respect of costs and/or damages.

You should bear in mind that the other party may not be in a financial position to pay what it is ordered to pay. Where the other party is funded by the Legal Aid Agency, it will not normally be possible to recover costs from that party.

If a costs order is made against you, any liability imposed on you to pay the costs of another party will be in addition to your liability to pay our fees and other charges, expenses and disbursements.

Where you are awarded interest by the court on costs, we will account to you for that interest to the extent you have paid our fees and other charges, expenses and disbursements, but we will be entitled to the remainder of the interest.

If we are ordered by the court, as your solicitors, to pay the other party's costs, where we are simply following your instructions, then you will be responsible for those costs.

9 FUNDING OPTIONS

There are a number of options available to fund your costs, including your liability to pay the other party's costs. The options are set out in the enclosed note, General Information about Litigation Costs, which I am happy to discuss with you.

Unless with our prior agreement a third party guarantees payment of our fees, we will not normally accept payment of sums from a third party that is not a financial institution providing finance in the ordinary course for the transaction. Also, we may need to carry out additional due diligence where we receive funds from third parties, which may result in your matter being delayed.

10 ASSUMPTIONS AND MATTERS WE HAVE TAKEN INTO ACCOUNT

Our engagement including fee estimate and the likely timescale are based on the following:

- We will assume we can take instructions from you, Nick Stoop, or anyone else you tell us has authority to give us instructions; or if we act for more than one person, from any of those persons on behalf of all of you.
- You and any others with whom we need to liaise provide prompt, clear and accurate instructions and provide relevant information (whether or not we ask for it) and tell us promptly of any changes. We may act on your oral instructions but we may ask you to confirm these in writing.
- You understand and adhere to your disclosure obligations as set out in the attached Note.
- Where the matter involves negotiation, those negotiations are conducted by all parties on a reasonable and professional basis and are not unduly protracted.
- That there are no circumstances outside our control that delay the timely progress and conclusion of the matter.
- That you pay us:
  - monies on account promptly when we request;
  - our bills within 30 days of being rendered; and
  - funds for the transaction promptly when requested to allow for clearance.
- We are not required to do work that is outside the scope that we have agreed.
- We will not have to travel outside the UK.

11 LIMITATION OF OUR LIABILITY

Our liability for loss or damage attributable to our negligence, breach of contract, misrepresentation or otherwise (but not in respect of fraud, fraudulent misrepresentation, death or personal injury) shall not exceed £10,000,000 per single originating cause (or, if higher, such minimum level of insurance cover as the Solicitors Regulation Authority requires us to maintain from time to time).

A limitation of liability provision in these terms shall apply to each and every subsequent transaction or work we carry out for you unless we agree otherwise.

Where this letter is addressed to more than one client, this limit of liability applies to the total of all claims by all such clients and not separately to each client.

If the matter involves tax mitigation planning, our advice is based on our understanding of the current law and HMRC's current practice. We shall therefore not be liable for any loss or damage suffered by you arising from changes to the law or its interpretation (and we do not undertake to alert you to any such changes) or changes in your circumstances after the date on which the advice was first given. It is also not possible for us to guarantee that any tax mitigation planning steps taken will be successful and we shall not, therefore, be liable for any loss or damage suffered by you if and to the extent that they may not succeed. This includes, but is not limited to, any loss or damage arising as a result of the application of the General Anti-Abuse Rule (GAAR), the purpose of which is to counteract abusive tax arrangements.

12 COMPLAINTS

We undertake to look into any complaint about our services or our bill, carefully and promptly and to do all we can to explain the position to you. If we have given you a less than satisfactory service, we will do everything reasonable to put it right. We have a complaints procedure, a copy of which is available on request. Further information is given in the Client Satisfaction / Complaints Procedure paragraph in the Standard Terms concerning any complaint to us or to the Legal Ombudsman.

13 ANTI - MONEY LAUNDERING

As solicitors, we are required to verify the identity of our clients. The process varies for different categories of clients but generally, the following procedures will apply:

- If you are an individual who we meet, please bring one form of proof of identity (e.g. a current passport, national identity card or driving licence) and one form of proof of residential address (dated within the last 3 months, such as a utility bill or bank statement). If you are unable to meet us in person, we will ask you to provide a third document (either proof of identity or address) and have all three documents certified as true copies (photocopies) of the originals by a lawyer, accountant, bank official, embassy or consulate. Unfortunately, we are unable to rely on copies of digital photographs.

- If you are a company, in many cases we will be able to obtain all the information we need through online databases. However, if there is insufficient information about you in the public domain, we will ask you to provide certified copies of your corporate records to enable us to understand your ownership and control structure.

If we are carrying out a transaction for you, we will ask you to explain how the transaction will be funded and in some cases, we may ask you to provide supporting documentation.

14 CLIENT UPDATES

We will use your contact details to inform you of legal updates, seminars and the like. If you do not wish to receive that information, please write to the Privacy Officer at our address or by email to DataProtection@crsblaw.com or use the link in any email communication you receive from us containing such information to advise us of your preferences.

Our Privacy Notice is available on our website.

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15 **CYBER SECURITY**

Please be alert to cyber security risks of fraudulent interception of electronic communications between us particularly concerning the transfer of monies. We take prudent steps to try to protect the security of our own systems but fraudsters may intercept communications by accessing servers and devices outside our control. In particular, if you receive an email or other electronic communication purporting to be from this firm changing details of any account of ours to which monies are to be sent, it is unlikely to be genuine. Before sending any monies in response to such a communication, please telephone us to check with the fee earner concerned using the main number of this firm on our website and not any number given in the communication itself. If you have any doubt about whether any other communication purporting to be from us is genuine, please telephone us as above. Do not rely on just an email or text confirmation appearing to be from us as this may also be from the fraudster.

Please contact me if you require clarification of anything in this letter. Please confirm your agreement to our terms of engagement by signing and returning the enclosed copy of this letter. Meanwhile your continued instructions will amount to your acceptance of these terms.

We look forward to working with you.

Yours faithfully

Charles Russell Speechlys LLP

Encs Standard Terms
General Informtion About Litigation Costs
Disclosure Obligations for Litigants

I agree to the terms of engagement set out in this letter, any attachments and the Standard Terms.

Date:

Nicola Johnson

CRS
CharlesRussell Speechlys

STANDARD TERMS

(VERSION DATED 24/05/2018)

INTRODUCTION

Charles Russell Speechlys LLP is a limited liability partnership under the Limited Liability Partnerships Act 2000 (with registered number OC 311850 and with its registered office at 5 Fleet Place, London EC4M 7RD). A list of our members is available at our registered office. We are authorised and regulated by the Solicitors Regulation Authority of England and Wales ("SRA"). The SRA Code of Conduct can be accessed at www.sra.org.uk.

1 OUR SERVICES

1.1 Our agreement to provide our services is effective from the earlier of:

1.1.1 the date of the Letter of Engagement; and

1.1.2 our beginning to render the services.

1.2 We will carry out our services with reasonable skill and care.

1.3 Unless we otherwise specifically agree in writing:

1.3.1 Our services and the products of our services are provided only to you for the purpose set out in the Letter of Engagement.

1.3.2 You may not disclose the products of our services or make the benefit of our services available to anyone else except:

(a) as may be set out in the Letter of Engagement, or

(b) where required by law, or

(c) (if you are a company) to any other member of your group, or

(d) to your other professional advisers

provided that in the case of (c) and (d) you first tell them in writing that we do not accept or assume any liability or duty to them and that no further use or disclosure may be made.

1.4 Our responsibility is only to you as our client. We shall not be under a duty to, nor have any responsibility towards, any other person in connection with the work we have agreed to undertake (unless that person is also a client in relation to the work), even if your intention is to benefit such a person. Except to the extent that our partners, employees and consultants can benefit under the paragraph entitled "Claims" below, the Contracts (Rights of Third Parties) Act 1999 does not apply to this agreement.

1.5 If we have a liability to you under this agreement for any loss or damage (including costs) and one or more other advisers would be liable to you for the same loss or damage except that the contract with any such adviser excludes or limits that liability, or you decide not to recover or are unable for any reason to recover from any such other adviser, then:

1.5.1 our liability to you for that loss or damage will be reduced;

1.5.2 the reduction will take into account the responsibility of such one or more other advisers for the loss or damage;

1.5.3 in determining the extent of any other adviser's responsibility, no account will be taken of any shortfall in recovery from any other adviser for whatever reason or any exclusion or limit on the amount payable by that adviser (whether or not we are aware of it).

1.6 Where we agree to accept service of documents on your behalf and do not agree specific terms and conditions for so acting, our obligations are only to use reasonable care to forward the document to you at your risk, or communicate to you the fact of its receipt by us, as promptly as reasonably possible at the address we last have for you. We will not be bound to consider the urgency or importance of the

document or advise you concerning it (unless we have specifically agreed to do so). Nor shall we be liable for any delay or failure in communication due to circumstances beyond our control or be required to act in any respect contrary to law or to our professional obligations as solicitors. We may terminate our agreement to accept service on not less than one month's written notice to you subject to the Civil Procedure Rules of the English Courts if we are also on the court record.

1.7 We shall not be liable for any delay in performing or inability to perform our services or obligations as a result of circumstances outside our reasonable control or our compliance with any anti-money laundering or counter terrorist financing legislation.

1.8 We are legal advisers and it is not part of our role to advise on business or financial matters. Nor will we advise on any tax related aspects of a matter unless we specifically agree in writing.

1.9 We are not responsible for reviewing now or in the future any advice given or work undertaken for you in the light of any changes in the law subsequent to our having given the advice or having undertaken the work, unless it is part of the agreed scope of our work on a particular matter.

2 CONFIDENTIALITY

2.1 Except as explained below, we will maintain our professional and legal obligations of confidentiality in relation to the work we undertake for you and in relation to information, which is confidential to you, is not already in the public domain or known to us and which comes into our possession in the course of undertaking that work. However, we may disclose such information:

2.1.1 for the purpose of acting for you including, without limitation, disclosures to your other advisers or to third parties involved in the work we are undertaking for you;

2.1.2 to our auditors for the purposes of the audit of our accounts;

2.1.3 to our professional indemnity insurers in accordance with the requirements of that insurance (which may include communications which would ordinarily be protected by legal professional privilege);

2.1.4 as required by law or by any regulatory authority or court of competent jurisdiction;

2.1.5 for the purposes of complying with our obligations under any anti-money laundering or counter terrorist financing legislation; or

2.1.6 to assist with the management of our business including recovery of unpaid bills and for the purpose of outsourcing any of our services, but any person to whom such disclosure is made will be required to maintain the confidentiality of the information.

3 ELECTRONIC COMMUNICATION

3.1 We may correspond by means of electronic mail.

3.2 Both you and we agree to use commercially reasonable procedures to check for commonly known viruses before sending information electronically, but you and we recognise that such procedures cannot guarantee that transmissions will be virus free.

3.3 You accept the risks of using electronic mail, including but not limited to the risks of viruses, interception, unauthorised access, delay, mis-routing and breakdown of service providers.

3.4 Electronic mail may be monitored for regulatory compliance purposes.

3.5 We endeavour to retain, in electronic storage or hard copy, copies of all emails which contain or refer to significant information, although others may be deleted or destroyed. However it may be impractical or unjustifiably time consuming to retain all such emails and your file may therefore not contain a copy of every email sent or received.

4 INTELLECTUAL PROPERTY RIGHTS

All intellectual property rights worldwide in the products of our services will be owned by us. You will have a non-exclusive non-transferable licence to use those products for your own internal purposes.

5 YOUR MONEY

5.1 Any money we hold for you will be deposited with a bank or building society having requisite UK authorisation or EEA

equivalent authorisation in each case in accordance with the requirements of the SRA Accounts Rules for holding client money. We make no representation as to the financial position of any such bank or building society and we will not be responsible for any loss or damage due to any mistake by or insolvency of any such bank or building society or any delay or failure by it to pay or repay monies deposited with it.

5.2 Unless otherwise agreed with you, we will account to you for any interest exceeding £20 earned on cleared funds held by us for you in our general client account with our principal bankers. The interest rate will be equivalent to the relevant bank's published rates for client business accounts. Interest on money held in a separate designated client account will be at the rate paid by the bank concerned. Details will be provided on request. Interest will usually be credited following the conclusion of the matter. However we may pay interest at appropriate intervals if the matter is ongoing over a long period. Further information about money we hold for clients may be placed on our website from time to time.

5.3 It is our normal practice that any gains or losses resulting from currency conversion into sterling of bills rendered in another currency, accrue to us. However, we reserve the right to require payment of any currency conversion loss we suffer where payment is not made within our normal 30 day period after the bill is rendered.

5.4 You agree that we may apply any funds in our client account that are not held for a specific purpose towards the discharge of outstanding bills.

6 GUARANTEE OR AGREEMENT FOR PAYMENT OF COSTS

A guarantee or agreement by a third party for payment of our bill does not release you from your primary responsibility for payment if the third party does not pay promptly on request. If you have arranged with a third party for that third party to pay our bill, the third party will not normally be entitled to recover any VAT element and you will remain liable for that.

7 PAYMENT OF BILLS

7.1 If any bill is not paid within 30 days after it is delivered or any request for a payment on account is not met, we reserve the right:

7.1.1 to suspend carrying out our services; and/or

7.1.2 to terminate our retainer on written notice to you; and/or

7.1.3 to charge interest at 8% p.a. or if the amount is recovered following the issue of court proceedings at the rate payable on judgment debts; and/or

7.1.4 to remove our name from the court record in any proceedings in which we are acting for you.

7.2 English law imposes a tax charge on UK resident but foreign domiciled individuals when they remit untaxed foreign income or gains to the UK. In certain circumstances the payment of our bill from foreign untaxed income or gains may be treated as such a remittance, giving rise to a UK tax liability. The liability can arise not only where the individual pays our bill out of his or her own funds, but also where the payment is made by a company in which he or she has a significant interest or by a non-resident trust in which he or she has an interest. The rules are technical and complex. We shall not advise on or be under any obligation concerning the tax consequences of payment of our bills unless we have agreed to do so in our Letter of Engagement.

7.3 Subject to compliance with money laundering regulations we will accept, for the convenience of clients, most major credit and debit cards for payment of our bills. Please ask for details.

We will not normally accept payment in cash. If we do it will only be in exceptional circumstances agreed in advance with you for limited amounts and only in respect of our charges.

8 ANTI MONEY LAUNDERING

We are required to undertake due diligence measures concerning our clients and this may include asking for evidence of your identity and obtaining information about persons who have significant interests in or control over the management of certain types of client. We may charge for doing this based on our hourly rates. We may use an on-line identity verification service and supply relevant personal data and other identifying details about you to the provider of that service. Where that

information relates to another person you confirm you have that person's authority to provide it. Until our due diligence is completed, we may be unable to undertake any work and to receive payments. If we begin acting pending completion of due diligence, we may have to cease acting if this is not completed within the time limits we advise.

In accordance with anti-money laundering legislation and our own procedures, where knowledge or suspicion of money laundering, terrorist financing or sanctions issues arise, or in the light of other circumstances we believe there may be reputational damage to us or the Solicitors' profession in continuing to act, we may be obliged to or may decide to cease or suspend acting and/or report information to the appropriate authorities, possibly without telling you or explaining why.

9 INVESTMENT ADVICE

Our work may involve investments. Although we are not authorised under the Financial Services and Markets Act 2000 or by the Financial Conduct Authority, we are able, in certain circumstances, to offer a limited range of investment services to clients because we are members of The Law Society of England and Wales, which is a designated professional body for the purposes of the Financial Services and Markets Act 2000. Complaints and redress mechanisms are provided through the SRA and the Legal Ombudsman. We can provide these investment services where they are an incidental part of our professional services.

10 INSURANCE MEDIATION ACTIVITY

We are not authorised by the Financial Conduct Authority. However, we are included on the register maintained by the Financial Conduct Authority so that we can carry on insurance mediation activity, which is broadly the advising on, selling and administration of insurance contracts. This part of our business including arrangements for complaints or redress if something goes wrong is regulated by the SRA. The register can be accessed via the Financial Conduct Authority Website at http://www.fca.org.uk/register.

11 CONFLICTS OF INTERESTS

It is our practice to check for conflicts of interest before taking on work. We provide many different professional services to clients and although we carry out searches we may not identify all situations where there may be a conflict of interest. Therefore, please notify us promptly of any potential conflict which you think exists or may exist. In appropriate cases it may be that your interests can be properly safeguarded through information barriers which where possible will be agreed with you.

12 DATA PROTECTION

12.1 All capitalised terms used in this paragraph are as defined in the Data Processing Details. All information that we hold concerning individuals will be dealt with in accordance with the Privacy Laws.

12.2 A copy of our Privacy Notice is available on our website (charlesrussellspeechlys.com) or a hard copy may be requested from us by phone, email to DataProtection@crsblaw.com or mail addressed to the Privacy Officer.

12.3 The Privacy Notice sets out further information about the personal data we collect and how we use it. It also provides further information about your rights in respect of your personal data held by us, including your right to make a complaint.

12.4 If you have any queries regarding your personal data, please contact our Privacy Officer.

12.5 When we provide you with our services (which may include legal services, training, administration, marketing, for other commercial purposes, or as required by law), we process personal data – either yours if you are an individual client or, if you are a corporate client, of individuals within your organisation with whom we deal. If we use this data to communicate with you about our services, you can choose not to receive these communications at any time: see the Privacy Notice on our website.

12.6 When we use Client Personal Data we do so subject to your instructions, our professional duty of confidentiality and the Privacy Laws as set out in the Data Processing Details. We process Client Personal Data supplied to, or created by, us in providing our services to you, as a Data Controller with you. In limited instances, for example where we provide trustee, trust administration or company secretarial services, we may act as Data Processor and the basis upon which we do so is set out in the Data Processor Terms.

12.7 As Data Controller of the Client Personal Data we and you shall each comply with our respective obligations under the Privacy Laws and use all reasonable efforts to assist the other to comply with such obligations as are respectively imposed on each of us by the Privacy Laws. We shall both ensure that we notify any relevant supervisory authority as required including about the use and processing of the Client Personal Data.

12.8 We and you each acknowledge and agree that we have allocated responsibility for compliance with the Privacy Laws, as set out in the Data Processing Details. You and we acknowledge and agree that the Data Processing Details are an accurate description of the Processing of Client Personal Data. Where you collect Client Personal Data, which you provide to us, you shall ensure that:

- you are not prevented or restricted from disclosing or transferring it to us and that we are not prevented or restricted from processing it as envisaged in our Letter of Engagement;
- you have complied with applicable provisions in the Privacy Laws in relation to information (including fair processing information) and access enabling us to process it in providing our services to you;
- it is adequate, relevant and limited to what is necessary in relation to the purposes set out in the Data Processing Details; and
- it is accurate and up to date.

12.9 You and we shall be separately responsible for compliance with the following obligations as a Data Controller of the Client Personal Data:

- the Security Requirements in respect of the Client Personal Data in its possession and/or control;
- restrictions in the Privacy Laws on transfers of the Client Personal Data outside the EEA which either of us initiates;
- retaining the Client Personal Data in our or your possession and/or control only for as long as necessary for its purposes as set out in the Data Processing Details; and
- Data Subject rights under the Privacy Laws exercised in respect of the Client Personal Data in our or your possession and/or control.

12.10 Neither you nor we shall, by your or our acts or omissions, cause the other party to breach its obligations under the Privacy Laws.

12.11 The Client Personal Data we process may be transferred to our service providers and agents and may be accessible by each and every affiliate of ours (worldwide) for the provision of our services.

12.12 You agree that we may disclose that we are acting for you in our marketing and similar materials and, if in the public domain, the matter on which we have acted or are acting for you. If the matter is not in the public domain, we may only disclose the matter for marketing purposes in a generic form (and without reference to you) unless otherwise agreed between us.

13 INSIDE INFORMATION

If you are an issuer as defined in the EU Market Abuse Regulation (EU 569/2014) (MAR) or an adviser to such an issuer, where we have access to what we consider to be, or you advise us constitutes, inside information for the purposes of MAR, we will maintain the required list of those partners, employees and consultants of ours who are acting on the transaction or may otherwise have access to the inside information (an "insider list"). You agree to notify us when you provide information to us which is inside information and when we are required to create an insider list.

We will provide you with access to our insider list as soon as reasonably practicable if you ask us to do so. We will also provide the list to the Financial Conduct Authority, the Law Society or SRA if so required.

The insider list will be stored and kept for five years from the date on which it is last edited. During storage, it will be readily obtainable if required. Unless you instruct us to the contrary, the insider list may be destroyed at the expiration of the five year period.

14 OTHER ADVISERS

If we propose to instruct other professional advisers on your behalf, we will tell you of the adviser we intend to use (if you do not have an existing or preferred adviser) and ask them to provide you with an estimate of their costs for which you will be directly liable. Please note that, although we may

recommend an adviser with which we have previously worked, any such adviser will be independent of Charles Russell Speechlys LLP, will be instructed on your behalf and will not act as our agents.

We assume no responsibility or liability for advice given to you or otherwise in respect of the information supplied or work undertaken by any such adviser or by any other adviser with whom we may work in relation to our services, whether recommended by us or suggested or instructed by you. Unless you otherwise advise us in writing, we will assume that we are authorised to communicate information (whether confidential to you or not) to such advisers for the purpose of their work.

15 CLIENT SATISFACTION / COMPLAINTS PROCEDURE

15.1 Satisfying your requirements and expectations requires not only a professional approach on our part, but also that we should be kept aware of any concerns that you have about our work or about the progress of your matter. We therefore hope that you will raise any such concerns promptly and frankly, and indeed tell us of any suggestions to improve our services. To that end we have internal systems of quality control, including periodic reviews of our service.

15.2 Any complaint you may have in relation to our services, which may include a complaint about an invoice, should be raised in the first instance with the Partner responsible for your matter. He or she may seek the assistance of the Firm's Complaints Partner or others in trying to resolve the matter with you. Alternatively, if either at the outset, or if you and the Partner cannot resolve your complaint, you wish to make a complaint under our Complaints procedure or if your complaint relates to that Partner. Please write to the Firm's Complaints Partner (currently Jonathan Whitehead), who has been appointed to try to resolve disagreements between the Firm and its clients. He will acknowledge your complaint in writing, explain to you the procedure that he will follow to investigate the matter and will conduct a full review. That may involve delegating responsibility for the investigation to another partner.

15.3 If you remain dissatisfied after receiving our final response to your complaint (including a complaint relating to an invoice) you can contact the Legal Ombudsman as follows:

- post: PO Box 6806 Wolverhampton WV1 9WJ; or
- email: enquiries@legalombudsman.org.uk; or
- telephone: 0300 555 0333 or if calling from overseas +44 121 245 3050.

15.4 If you wish to refer a complaint to the Legal Ombudsman. it should be done within six months of our final response to your complaint; and within six years of the act or omission that caused the complaint or if outside this period, within three years of when you should reasonably have known about the relevant act or omission.

15.5 The Legal Ombudsman has restricted the categories of clients who are eligible to complain to it. Broadly speaking, a complainant must be an individual (including trustees, personal representatives and beneficiaries of estates), a small business or a charity or club with an annual net income of less than £1 million. For further guidance please refer to the Legal Ombudsman Scheme Rules.

15.6 If you wish to make a complaint relating to a bill, you must do so within one month of receiving the bill, failing which we will be under no obligation to investigate or to attempt to resolve the complaint. You may also have the right to apply to the court for assessment of the bill under Part III of the Solicitors Act 1974, or Part 48 of the Civil Procedure Rules 1999 normally within twelve months of delivery of the bill. The Legal Ombudsman may decline to consider your complaint if you have applied to the court for assessment of the bill.

15.7 No charge will be made for the time spent in investigating and responding to a complaint.

16 CLAIMS

16.1 Our partners, employees and consultants do not owe a personal duty of care or take personal responsibility for their acts or omissions in connection with the work they do. That work is undertaken on our behalf and not in their individual capacity.

16.2 You agree not to bring any claim in respect of loss or damage suffered by you out of or in connection with our services against any of our partners, employees or consultants. This restriction will not operate to limit or exclude our liability for the acts or omissions of any partner, employee or consultant. It is agreed that

any partner, employee or consultant will have the right to enforce this clause pursuant to the Contracts (Rights of Third Parties) Act 1999, but their consent is not required to any variation, termination or rescission of this agreement.

16.3 However, nothing in these Standard Terms or in the Letter of Engagement excludes or limits any claim you may have against a member, employee or consultant of ours for fraud or for death or personal injury caused by that person's negligence.

16.4 Contact details of our professional indemnity insurer and details of territorial coverage of the insurance are available from our General Counsel or Director of Risk at our registered office.

17 STORAGE OF PAPERS AND DOCUMENTS

17.1 On completion of our work, following payment of all our bills on all matters for you, any original documents or other property which belongs to you and which we hold will be returned, if you so request. Files or records of our work will be kept for at least seven years and may be placed in third party storage and/or scanned and/or stored electronically. If we scan or store documents electronically we may also destroy the originals, unless they are documents of title or documents having an intrinsic status or value deriving from a factor other than their content.

17.2 Unless we have agreed otherwise in writing, you authorise us to destroy all files or records of our work seven years after the date of our final invoice for the work concerned.

17.3 If we retrieve files or documents from storage in relation to continuing or new instructions, we will not normally charge for such retrieval. However we may make a reasonable charge in other circumstances.

18 TERMINATION

You may terminate your instructions to us at any time. We may terminate this agreement with immediate effect, and prior to termination suspend our work for you, if you or any person associated or connected with you or in which you have any direct or indirect interest, is or becomes subject to financial sanctions or similar restrictive measures under the laws of any jurisdiction or if we reasonably consider this is likely to occur. We may also stop working for you for any other good reason and on reasonable notice or as set out in the Letter of Engagement. If the agreement is terminated by you or us, unless the Letter of Engagement states otherwise, you will only be liable for our fees until termination plus VAT and other charges, expenses and disbursements.

We will be entitled to retain all your files and documents while there is money owing to us on any matter.

Any provisions of this agreement which are capable of having effect after termination, shall do so.

19 LEGAL PROFESSIONAL PRIVILEGE

Communications between a lawyer, acting in his or her capacity as a lawyer, and a client are privileged if they are both: (a) confidential; and (b) made for the purpose of seeking or giving legal advice (legal advice privilege). Confidential communications between a lawyer and a client, a lawyer and an agent or a lawyer and a third party will also be privileged if they are made after litigation proceedings have commenced or are reasonably in prospect and the communications are for the sole or dominant purpose of litigation (litigation privilege). You should be aware that if it is necessary for us to communicate with third parties on your behalf, those communications are unlikely to be privileged unless litigation privilege applies. Where legal advice privilege is concerned, the courts may treat individuals within your own organisation as external third parties if they are not involved in the giving of instructions or in the seeking, obtaining or receipt of advice from us. If you decide to disseminate privileged documents, either internally or externally, privilege may be lost so you should discuss this with us first. The law is not clear on whether legal advice privilege can exist in communications with clients made by non-lawyers working for us.

20 GOVERNING LAW AND JURISDICTION

20.1 Unless our Letter of Engagement states otherwise, our agreement with you will be governed by English Law and will be subject to the exclusive jurisdiction of the Courts of England.

21 WHOLE AGREEMENT

21.1 The Letter of Engagement, these Standard Terms and any other terms expressly agreed at any time in writing by a partner of ours, set out the entire agreement between us for the work you

have instructed us to do. If you instruct us to carry out additional work and we do not prepare a separate Letter of Engagement, this agreement will continue to apply, modified to reflect the scope of the additional work which will be carried out at our then hourly rates for the individuals concerned, unless we agree otherwise in writing.

21.2 If any part of the covering Letter of Engagement or these Standard Terms is or shall become invalid, illegal or unenforceable, the remainder shall survive unaffected.

21.3 The headings to paragraphs in the Letter of Engagement and these Standard Terms shall be ignored in construing the paragraphs.

21.4 We may update these Standard Terms from time to time as notified to you or as stated on our website.

22 INTERPRETATION

In the agreement the following words and expressions shall have the following meanings:

"**we**", "**our**", "**ours**"

means Charles Russell Speechlys LLP and where the context so admits our associated Swiss law firm Charles Russell Speechlys AG any company owned or controlled directly or indirectly by Charles Russell Speechlys LLP or any other corporate entity or partnership in which Charles Russell Speechlys LLP has a direct or indirect financial interest and any successor practice of any of the foregoing.

"**you**", "**your**"

means the parties to the agreement other than us.

"**the/our/this agreement**"

means the Letter of Engagement, these Standard Terms and any other terms expressly agreed at any time in writing by a partner of ours.

"**Letter of Engagement**" or "**Engagement Letter**"

means the letter from us or other written agreement by us recording the terms of our engagement in relation to your matter.

"**services**"

means the services described in the Letter of Engagement or otherwise agreed between us in writing.

Any reference in the context of the provision of our services, to a "partner" of ours means a member of ours or an employee or consultant with equivalent standing and qualifications. It does not mean that our members and/or any person referred to as a "partner" are carrying on business in partnership. Also, any reference to any employee or consultant of ours shall include a reference to an employee or consultant of any subsidiary of ours.

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GENERAL INFORMATION ABOUT LITIGATION COSTS

PAYMENT AND RECOVERY OF LEGAL COSTS

1 CIVIL COURT PROCEEDINGS

If you win

Save for "small claims" cases, where costs awards are usually minimal, the losing party at a hearing or trial will usually be ordered to pay the winning party's costs.

Except in circumstances where only fixed costs are awarded, the court has discretion as to the form of the costs order in terms of both entitlement and amount. Factors which may be taken into account by the court in assessing entitlement to and/or the amount of the costs to be awarded include the following:

- the track to which the claim has been allocated;
- whether any court-approved costs budget has been exceeded (see below);
- whether the amount of the costs claimed is proportionate and/or reasonable to the matters in issue and/or the value of the claim;
- conduct of the parties both prior to and during the proceedings (and conduct can include:
  - whether it was reasonable for a party to raise, pursue or contest a particular allegation or issue;
  - the manner in which a party has pursued or defended his claim; and
  - whether or not a party has exaggerated his claim);
- attempts at settlement;
- success in whole or in part; and
- the value involved, the importance of the matter to the parties, its complexity, specialist knowledge involved and time spent.

It is important to stress that your liability to pay our fees, on whatever basis may be agreed between us (save only where we have entered into a damages-based agreement as described below), is never dependent on the extent to which you may be able to recover costs from an unsuccessful party. If you win a case but are not awarded costs, or you are awarded costs but you cannot recover all or any of them

from the loser, this does not affect your liability to pay us and you will remain fully responsible for any shortfall.

If you lose

If you are unsuccessful at any hearing, or at trial, or have part of your case struck out, you are likely to be ordered to pay your opponent's legal costs and expenses.

Such costs will be assessed by the court in the absence of agreement on the basis of the principles set out above.

Any liability for costs to the other party will be in addition to your own costs and any damages awarded against you.

Any such order for costs will generally be payable by you within 14 days from the making of the order or the issue of a certificate following detailed assessment.

Where you are ordered or agree to pay the other side's costs, you will be responsible for our costs of agreeing or assessing those costs.

Costs budgeting

In most cases, parties to litigation have to file and exchange detailed costs budgets before the first case management conference. The budgets are in a detailed, prescribed format and must cover every litigation eventuality. The parties may seek to agree their respective budgets, failing which the court will consider, amend and ultimately approve the budgets. Parties will generally not be able to recover more than the agreed budget, unless there is good reason to depart from it.

The amount which a party can recover in relation to the preparation of the costs budget is capped by the court at a minimal level. The irrecoverable element of costs incurred in preparation of the budget will be payable by you in any event.

Assessment of costs

If not agreed between the parties, costs awarded may be dealt with in two ways

Cases which are subject to costs budgeting

If the winning party has run the litigation in accordance with its costs budget, the court may simply award costs on that basis. However, the court retains the discretion to assess the costs in any event.

Cases which are not subject to costs budgeting, or where the court decides to assess costs in any event

The court retains the discretion to summarily assess costs at hearings during the course of proceedings, or by "detailed assessment" at the conclusion of the proceedings. A detailed assessment may take many months to complete.

One of the matters which may be considered by the court is 'proportionality'. This may be particularly important if you instruct us to take steps that the court may consider unnecessary or inappropriate. If we receive such instructions then you need to be aware that you may not be entitled to recover the costs incurred by us in complying with those instructions.

In the light of the court's discretion to award and assess costs, there is no guarantee of an award of any costs relating to a particular hearing or issue or the proceedings as a whole. Even if the court orders the other party to pay costs, experience shows that only a proportion of the actual costs will be recoverable (potentially up to around 70% but it may be substantially less). There are circumstances where costs can be awarded on an "indemnity basis" in which case a higher proportion of the costs will be recoverable, potentially around 80-90% of the costs. You must therefore always expect a shortfall between the amount of the costs you recover and the costs you are liable to pay to us.

If a detailed assessment of costs is ordered, we will provide the services of a costs draftsman to prepare all necessary documents and, if necessary, to attend the assessment hearing. You will be expected to pay our additional costs in dealing with the detailed assessment, including the cost draftsman's fees.

A party which is ordered to pay costs will generally have 14 days from the making of the order.

If the other party is liable to meet all or some part of your costs but fails to do so, you still remain liable to us for all your costs.

In respect of hearings which do not last more than one day, the court has the power to make a summary assessment of costs. This involves the court ordering one party to pay a specific sum to the other party in respect of costs instead of having to wait for a detailed assessment.

Payment of costs after settlement of case

Settlement of a case may occur at any time, and it is always our hope that the parties will settle before trial.

It is usual for costs to be discussed and sorted out between the parties at the same time as negotiating a settlement. You will be expected to pay our additional fees in dealing with those costs, along with any fees incurred in recovering costs payable by the other party.

2 MEDIATION

A mediator has no power to award costs.

It is usual for the parties to split the costs of a mediator initially. The parties will also each bear their own legal costs of the mediation in the first instance. If the matter settles at the mediation, the parties will typically deal with costs in the settlement agreement and the less successful party may be prepared to pay all the mediator's

costs and all, or a proportion of, the other party's mediation costs. Clearly we will endeavour to recover your costs in this way, if at all possible.

If the matter does not settle at the mediation but proceeds to trial in the normal way, then your share of the costs of the mediator and your legal costs in relation to the mediation will become costs in the case in the usual way. This means that the loser of the litigation will often be obliged to pay all the winner's reasonable legal costs including its share of the mediator's fee.

3 ARBITRATION

Unless the parties reach an alternative agreement, the arbitrator will usually have the power to award all or any part of the costs to any party in the proceedings. Much will depend on the rules of the arbitral forum in question.

Unless the parties can reach agreement between themselves, the assessment of the costs is dealt with by the arbitrator or the courts.

It is important to understand that, regardless of any entitlement you have to recover costs from the other party, you are responsible for payment of our invoices in full.

4 TRIBUNAL WORK

If your case is brought before a tribunal that has no power to award costs, save in exceptional circumstances, you will be unable to recover your costs from the other party, even if successful. The same applies to the other party's costs should you lose.

FUNDING OPTIONS

1 COMMUNITY LEGAL SERVICE (LEGAL AID)

We do not undertake work on Community Legal Service funding.

2 LEGAL EXPENSES INSURANCE

You may have insurance which covers legal disputes. We are happy to consider accepting instructions funded by legal expenses insurance. However, it is important that your insurers are informed immediately of the matter and confirm their agreement to our involvement as soon as possible and before any work is undertaken.

Please remember that whatever the expected source of funding, the primary liability for payment of our fees and disbursements lies with you, with you having the right to ask your insurer to repay to you all or part of what you have agreed to pay us. We do on occasion enter into arrangements where the amount you pay us is more than the amount the insurers will reimburse you for engaging us.

Before the event insurance (BTE)

This insurance cover is usually ancillary to another form of insurance cover, for example, household and/or contents insurance, motor insurance, warranty indemnity insurance and business interruption cover, or may be available with certain credit cards. The purpose of the BTE cover is to meet any legal costs incurred by the policyholder in respect of future legal disputes.

Additionally, if you are a member of a defence association, trade association or trades union, you may be entitled to legal expenses benefits. You should contact the relevant body as soon as possible and let us know you have done so.

If you have BTE, you should immediately notify your insurers and let us have a copy of the policy so that we can advise on its effect.

After the event insurance (ATE)

This is a form of insurance which is often used as an adjunct to a conditional fee agreement or a damages-based agreement. It involves the provision, in return for a negotiated premium, of insurance cover for the costs of a particular litigation matter – either the opposition's or both sides' in the event of the insured's case being unsuccessful. Premium rates are variable and depend on the sum insured and an assessment of the likelihood of success. There will be no pay out by the insurers if you win your case or enter into a settlement with the other party not approved by the insurers.

The key point about this type of insurance cover is that it is negotiated after the circumstances giving rise to the litigation, potential or actual, have occurred. It can therefore represent a useful additional means of reducing litigation risk. Note, though, that careful attention should be paid to the terms of any policy that you take out. In particular:

- The level of cover. If your liability for the opponent's costs exceeds the cover provided by the policy, you will be required to seek additional cover or, failing that, to pay these costs.

- Rescission, cancellation or voiding of the policy. The policy may contain terms which either permit the funder to withdraw or cancel the policy or provide for the policy to be void, in which case you will lose the benefit of the insurance.

We will be happy on request to make enquiries about the availability of such insurance cover for your matter. Our time spent and disbursements incurred in doing so, and in meeting the insurers' case assessment requirements, will be charged at the rates specified in the letter of engagement. These charges would not necessarily be recoverable from the losing party.

Premiums paid are not recoverable from the losing party, except in relation to defamation cases.

3 CONDITIONAL FEE AGREEMENTS (CFAS)

In return for your lawyer agreeing to charge no fee or a reduced fee should you lose, a CFA allows your lawyer to charge a "success fee" on top of his normal fees if you win against the other party. This can be up to 100% of normal rates. In the past, this success fee was recoverable from the losing party. However, as with the ATE insurance premiums referred to above, this is no longer the case for CFAs entered into now except in relation to defamation cases. Accordingly you will be liable to pay us this success fee element if you win the litigation.

CFAs can be entered into at any stage of the dispute including before the issue of proceedings.

When signing up to a CFA, you should consider purchasing ATE to cover the other side's costs and your own disbursements.

We will charge at the rates specified in the letter of engagement for time spent and disbursements incurred in investigating the viability of a CFA.

4 DAMAGES-BASED AGREEMENTS (DBAS)

A DBA is a type of contingency fee agreement where you pay us only if you obtain a "specified financial benefit" (usually damages paid by the losing side). The amount of the fee is determined as a percentage of the compensation actually received by you and is only payable out of monies actually recovered from the unsuccessful party. The litigation risk is therefore reduced because legal costs are only payable to us if you both win the case and recover money from the losing party. You should be aware, however, that the percentage is calculated on the whole amount awarded and is paid out first out from any recovery made by you or us on your behalf.

DBAs are a relatively new development. The Regulations governing DBAs are very unclear. Until the Regulations are amended or clarified by the courts we are unlikely to consider them to be a feasible funding option. Our time spent and disbursements incurred in assessing whether a case is one we would be prepared to take on is charged at the rates specified in the letter of engagement.

5 THIRD PARTY FUNDING

Third party funding may be available to assist in the payment of costs of a contentious matter. Third party funders are business entities that lend money so that litigation can be pursued and then look to profit from sharing in the winnings when the claim succeeds. We are willing to consider accepting instructions funded by third party funders. We will also be willing on request to make enquiries about the availability of such third party funding for your matter. Our time spent and disbursements incurred in doing so, and in meeting the third party funder's case assessment requirements, will be charged at the rates specified in the letter of engagement. Please remember that whatever the expected source of funding, the primary liability for payment of our fees and disbursements lies with you.

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DISCLOSURE OBLIGATIONS FOR LITIGANTS

What is the obligation?

The obligation arises under CPR31 and related Practice Directions. In short, it means that you must:

- search for; and
- disclose the existence of; and
- provide copies of

any documents which:

- are in your control; and
- adversely affect your, or another party's case; or
- support another party's case.

In addition, you must also provide a list of any documents which have been lost or destroyed, or which are no longer in your control.

Why do parties have to disclose documents?

The purpose of disclosure is to enable parties to evaluate the strength of their respective cases at a relatively early stage in proceedings, thereby avoiding, or at least reducing, elements of surprise, delay and costs before trial. Disclosure undoubtedly interferes with the rights of parties to keep their business affairs private. However, the rationale behind this is that justice cannot be done without access to all relevant documents. A party who obtains documents from an opponent through the process of disclosure, however, can only use those documents in the course of the litigation unless the court orders otherwise or unless or until the document has been read to or by the court or referred to at a public hearing.

Which documents?

A "document" is anything in which information of any description is recorded. This includes handwritten documents, audio and visual recordings, information held on computer hard drives, disks or mail servers, diaries, board minutes, photographs, voicemail, and, most importantly, e-mail. In addition, copies of documents must be disclosed if they differ materially from the original.

Generally speaking, even documents which are marked "confidential" may have to be disclosed.

There are certain classes of documents which you can withhold inspection of. The most important category of these are documents which are "legally privileged". Legal privilege applies to confidential communications between lawyers and their clients which come into existence for the purpose of getting or giving legal advice. The second category is called "litigation privilege" and arises where litigation is in prospect or pending. Documents in this category can go beyond the orbit of communications between lawyers and their clients, as long as they are related to the litigation process, such as correspondence with witnesses or experts.

Without prejudice communications generated as part of a genuine attempt to settle an existing dispute will also be withheld.

It is important to note, however, that privilege in existing documents can be lost if they are circulated either within or outside your organisation.

What sort of search do you need to undertake?

The obligation on parties is to undertake a "reasonable" search. What is reasonable will vary depending on:

- the number of documents involved;
- where the documents are located;
- the nature and complexity of the proceedings;
- the ease and expense of retrieval of any particular document; and
- the significance of the document.

The underlying principle is proportionality. Disclosure can be one of the most costly aspects of litigation. The Court will therefore be keen to ensure that the interests of the parties are balanced, and at the same time balancing the cost of disclosure against the sums in issue.

Electronic disclosure

In due course, we will discuss with your opponent's solicitors any issues which may arise regarding searches for, and the preservation of, electronic documents. We will need to consider providing information about the categories of electronic documents within your control, your computer systems, your document storage systems generally and your document retention policies. This will also apply, of course, to your opponent.

It may be reasonable to search some or all of your electronic storage systems. This will possibly entail keyword searches, which we will agree with your opponent as far as possible, if a full review of each and every document is unreasonable. We may need IT consultants to assist with the search for electronic documents; we will discuss this at the appropriate time.

The Court may also order the parties to complete and exchange an "Electronic Documents Questionnaire". This document allows each party to outline their proposals and expectations with regards to the extent of both their own and other parties' disclosure of electronic

documents. By exchanging this information early, this can help prevent unexpected and potentially costly changes in scope later in the proceedings. The questionnaire will request details as to what each party considers a reasonable search for potentially relevant documents, including: date ranges; custodians (ie persons who may hold relevant documents); forms of communication and formats of documents (e.g. emails, audio files) and whether any automated searches (such as keyword searches) will be used.

Preservation of documents

For Individuals

It is vital that you preserve any documents (including both paper and electronic documents) that may relate to the dispute. A suggestion that potentially important documents may have been altered, lost or destroyed after the proceedings began could be very damaging to your case as it may lead to the court drawing adverse inferences. If you have any automatic procedures that may result in the deletion of data, such as automated removal of old or deleted emails, then ensure these procedures are suspended. Consider whether any third parties control or manage your electronic documents and whether they need to be notified.

Please speak to us if you are planning to change any devices upon which data is stored (eg mobile phones, laptops or PCs) or if you are considering changing your email provider.

For Organisations

It is extremely important that everyone within your organisation should be instructed not to access, alter or destroy any documents (either paper or electronic) which might be connected with this dispute. This means, in particular, that any document destruction and deletion of electronic documents (whether routine or not) should be suspended for the moment, at least until the extent of disclosure has been ascertained.

You will need to:

- Consider what computers and other devices (such as mobile phones) the key individuals to the dispute may use to access potentially relevant documents. Liaise with your IT team (where applicable) to ensure suspension of any document management policies that may result in the deletion of data, such as automated removal of old or deleted emails. Consider whether any third parties control or manage your electronic documents and whether they need to be notified.

- In cases where the forensic preservation of data is vital, such as disputes involving an element of fraud, consider obtaining an immediate copy of the back up tapes to your IT systems (if applicable), in order to preserve the integrity of your data as quickly and efficiently as possible.

- It is essential that all personnel realise that if relevant documents are destroyed or deleted, the Court will be entitled to draw an adverse inference, even if the destruction was accidental or routine. In extreme cases, the Court has the power to strike out a claim, or a defence.

It is important that all relevant staff within your organisation are made aware of the disclosure process, because even if disclosure obligations are familiar to you, they may not be familiar to others.

Procedure

Shortly after a Defence has been served, the parties will exchange Lists of Documents. The Lists will identify those documents which the other side is entitled to inspect, those documents for which privilege is claimed, and those documents which are no longer in a party's control.Parties then have a further period (usually 7 days) within which to inspect each other's documents.

Statement of search

When sending the List of Documents to the other parties, an appropriate individual must sign a statement confirming that the agreed level of search has been made (or if not, explaining why not) and that the party has fulfilled its obligations in relation to disclosure. Whoever signs the List will have to confirm that they understand the duty to disclose and that the duty has been carried out to the best of their knowledge. Please start considering who the most appropriate individual will be in this case.

Failure to disclose

You should note that a failure to make full disclosure is considered very serious. It may be contempt of court and could have adverse consequences for the outcome of your case. In particular, you may not be permitted to rely on any document that has not been disclosed, without the Court's express permission.

The key points to remember are:

- Preserve (and do not destroy) any relevant documents (including electronic documents).
- Do not bring third party documents into your control.
- Do not create any new documents which could be disclosable.

Ongoing obligation

Disclosure is a continuing obligation, which applies until the proceedings are concluded. You must notify us if you become aware of further documents at any stage. This also includes any new documents created by you. You should, therefore, take particular care when writing to third parties about matters relating to the case and, preferably, consult us first.